



31. Japan: Asia's First Miracle

My impressions of the Japanese have undergone several changes over the last 60 years. Before World War II, I knew them as polite and courteous salesmen and dentists. They were a clean, neat, disciplined and self-contained community. I was thus completely unprepared for the cruelties they inflicted from February 1942 as conquerors of Singapore. They were unbelievably cruel. There were exceptions but systematic brutalisation by their military government made them a callous lot. We suffered three and a half years of privation and horror. Millions died in Japanese-occupied territories in Southeast Asia. Prisoners of war, British, Dutch, Indian and Australian alike, rotted away or were worked to death.

Unexpectedly, on 15 August 1945, came the emperor's order to surrender. From being our lords and masters the Japanese transformed themselves into model prisoners of war, conscientious and hardworking, cleaning up the city, applying themselves to their changed role seriously and diligently. Then they disappeared from the scene. I read of their distant hardships as they rebuilt Japan.

In the 1960s good-quality Japanese electrical goods flowed into Singapore. By the 1970s the Japanese were up and running again. Their mastery of industrial production of textiles, petrochemicals, electronic goods, television sets, tape recorders and cameras, plus modern management and marketing methods, had made them a formidable industrial power. As they grew stronger they bowed less low.

For me and those of my generation, the deepest and strongest imprint the Japanese left on us was the horror of the occupation years. Those memories are indelible. I have since come to know many Japanese in a broader range of relationships – ministers, diplomats, businessmen, editors, writers and academics. Some became good friends. They are well-educated, knowledgeable and very human. I know the people much better than I did in my youth. Because of fear and hate arising from the suffering of the occupation years, I had felt the satisfaction of *schaden-freude* when I read of their hunger and suffering in their bombed and burnt cities. This feeling turned into reluctant respect and admiration as they stoically and methodically set out to rebuild from the ashes of defeat. Skilfully they evaded most of the MacArthur military occupation policy objectives and preserved many key attributes that had made old Japan strong. A few were sent to the scaffold for their war crimes. The majority rehabilitated themselves and, as democrats, some won elections and became ministers. Others continued as patriotic, hardworking bureaucrats dedicated to the rebuilding of Japan as a peaceful, non-military nation – but one which neither repented nor apologised.

My first post-war dealing with the Japanese was over a cold-blooded massacre committed when they captured Singapore in 1942. By chance, bones in a mass grave were discovered during earthworks in February 1962 in Siglap, a suburb in the eastern end of the island. There were 40 such sites. They revived all the memories of *Sook Ching* some 20 years earlier when the Japanese *Kempeitai* rounded up and slaughtered 50,000 to 100,000 young Chinese men during the first fortnight after they captured Singapore. I had to be seen to raise the matter with the Japanese government and decided to see for myself this revitalised Japan. In May 1962 I made my first visit to Japan, then not completely recovered from the ravages of war.

The Japanese foreign office put us up at the Imperial Hotel, a building designed by American architect Frank Lloyd Wright, later demolished. It was a gracious, spacious, low-rise structure that looked Western yet was very Japanese. From my suite I had glimpses of the old Tokyo, which I imagined must have been a charming city. The new bustling Tokyo showed clear signs of an economy revving up, but was higgledy-piggledy, rebuilt hastily from the ashes of the fire storms that had devastated it when the American B-29s carpet-bombed it with incendiaries. The Japanese paid a heavy price for its urgent and haphazard reconstruction. The road system was bad and streets were narrow, not laid out on a grid and already jammed with traffic which would get worse as cars proliferated. For a people with such a superb sense of the aesthetic, they had rebuilt an unattractive city, and thrown away the opportunity to rebuild an efficient, elegant capital, as was well within their capabilities.

The national passion for golf, the prestige game, was very much in evidence. Foreign Minister Kosaka took me to play at his “300 Club”, one of the most expensive in Japan, with only 300 members from their political and business elite. The top executives had expensive imported American golf clubs and golf balls. The clubs made in Japan were inferior, with shafts that had no whip and feel. I thought that that was the limit of their technology and their ability to imitate. Twenty years later, Japanese golf clubs were some of the best and most expensive in the world.

The only important business I raised with Prime Minister Hayato Ikeda was the “blood debt”, compensation for their wartime atrocities. He expressed his “sincere regrets” – not apology – for what had happened. He said the Japanese people would like to make amends for the “wrong done to the spirits of the departed”; he hoped these events would not prevent the growth of friendly relations between the people of Japan and Singapore. The question of compensation was

left open. They wanted to avoid making a precedent that would lead to a deluge of claims from other victims elsewhere. He and his officials were most polite and were anxious to resolve the issue before it stirred up past bitterness. We eventually settled this “blood debt” after independence, in October 1966, for \$50 million, half in grants and half in loans. I wanted to establish good relations to encourage their industrialists to invest in Singapore.

Although my next visit to Tokyo in April 1967 was unofficial, Prime Minister Eisaku Sato saw me. He knew I had not been keen to press for compensation and thanked me for having resolved the “bones” issue. He accepted my invitation to visit Singapore and came in September that year, accompanied by his wife. He was the first Japanese prime minister to visit Singapore after the war.

Sato was dignified and serious-looking until he broke into a friendly smile. When he laughed it was with a hearty guffaw. Sato looked like a samurai warrior. He was medium in height, broad-built, and sturdy and strong both in the expression of his face and in his posture. Choo once asked him over lunch if it was true that he was descended from samurais. He proudly answered yes, adding, so was his wife. He spoke in a deep voice and did not waste words. For every three sentences by his foreign minister, Takeo Miki, he uttered one, the more telling one. He held a place of honour among his country’s post-war leaders as the first Japanese leader to be awarded the Nobel Peace Prize.

We were comfortable with each other. After our meeting in Tokyo, he knew that I was not anti-Japanese, that I wanted to cooperate with Japan to industrialise Singapore. The only reference he made in his speech to the Japanese occupation was “There were times in the history of Asia when we had a number of unhappy incidents,” a monumental understatement.

I paid a return official visit a year later, in October 1968. Japanese protocol was extremely particular, insisting that I wear a black homburg, grey gloves and a dark suit for the welcome and send-off ceremonies at the airport. They were sticklers for formal Western dress forms.

Japanese officials and ministers, including the prime minister, expected me to solicit aid as the British withdrawal from Singapore was then in the news. They knew the magnitude and urgency of our problems, and were much surprised that I did not seek aid as other visiting leaders from developing countries had done. From discussions with Sato and Miki, I concluded that they viewed Singapore, with its efficient port facilities and other infrastructure, as a useful starting point for their economic activities in Southeast Asia. For this role they needed Singapore to have good relations with Indonesia and Malaysia.

Sato also formally thanked me for the recent successful visit to Singapore of Crown Prince Akihito and Princess Michiko. I had entertained them to dinner and taken them to the roof of the Istana to see the Southern Cross, a constellation they could not see from Japan. As both were fluent in English, the conversation flowed easily. Choo and I were later to enjoy their gracious hospitality on several of our visits to Tokyo.

Because it was an official visit, the emperor and empress of Japan gave us lunch at the Imperial Palace. The main palace had been bombed so they received us in one of the outer buildings. We were brought into a drawing room, beautifully carpeted and simply but elegantly furnished with a few pieces of furniture – chairs and tables, including some exquisite small tables on which gifts were placed. Coming face to face with this demigod was a memorable moment in my life. For three and a half years in Japanese-occupied Singapore, he was god. Working for them as a cable editor in 1943–44 in Singapore’s Cathay Building, many times I had had to bow deeply towards the Imperial Palace in Tokyo in homage. Here before Choo and me was this small man with a spare stooped frame. He looked utterly harmless. Indeed, he was friendly and courteous, speaking in a very low whisper. The empress was larger-built, soft and gentle-looking with a pleasant round face. We were ushered by protocol officers into position for a ceremonial photo-taking. Then we sat down for a conversation, inconsequential except that at the appropriate moment he expressed his regrets for any suffering caused to the people of Singapore during the war. I nodded but did not say anything. I was not prepared for it, and thought it best to stay silent.

That old reverence of the Japanese for their emperor will be difficult to recreate now that they have stripped the royal household of its myth of divinity. There remains no mystery about what the throne represents. To sit and make small talk in subdued tones across the luncheon table with this former god-king was an anti-climax. I wondered what Sato, who sat close to him at lunch, thought about his emperor, for he belonged to the generation that had revered him as a god.

Choo and I were to call on the emperor and empress on several other occasions. One of my last acts as prime minister was to attend his funeral in February 1989. Dignitaries from all over the world came to Tokyo to pay tribute to the head of a resurrected industrial power. It was a solemn traditional ceremony. In Shinjuku Imperial Garden was this magnificent wooden Shinto shrine specially made for this funeral from beautiful white pine without using a single nail. Everybody was in dark suit with overcoat, muffler and gloves, or in traditional dress. We were under an open tent, seated facing this shrine, shrivelled by a wind blowing out from Siberia. It was two and a half hours of biting, bitter cold. The Japanese arrangements were meticulous. There was an adjoining enclosed reception area which was warm and accessible, with hot refreshments, snacks and toilets with heated seats. Every guest present was provided with warm rugs and special packets, large and small, which acted as heat pads when the plastic wrapping was torn off and oxygen started the chemical process. I put the small pads in my shoes under my instep, and large ones in each pocket of my jacket, trousers and

overcoat. Poor Choo had no pockets whatsoever in her Chinese dress. I saw my neighbour put several heat pads on his seat to keep his bottom warm. It was a more severe test than bowing to him from the rooftop of the Cathay Building in Singapore. I could not have imagined then that I would represent Singapore to pay my respects to the Japanese emperor at his funeral, together with US President George Bush and Britain's Prince Philip representing the two big powers his forces had attacked without warning on 8 December 1941. All the major countries and many of the aid recipient countries were represented by their president or prime minister, and in some cases also by their monarch. The world came to pay tribute to Japan's outstanding success.

Over the last 35 years, I have come to know Japan and its leaders better. We needed them to help us industrialise. They in turn saw Singapore as a strategic location in Southeast Asia from where they could expand their economic activities into the region. We also straddled the sea route from the Gulf states to Japan, critical for their oil tankers. Issues that regularly arose in my discussions with Japanese prime ministers were free passage through the Straits of Malacca, Japanese investment in Singapore and Southeast Asia, the security of the region including China's role in it, and economic cooperation in the Asia Pacific region.

The right of free passage through the Straits of Malacca was uppermost in the minds of almost all the Japanese leaders I met in the 1960s and '70s. Sato had first expressed his concern in 1967 that big tankers might not be able to pass the Straits of Malacca because of its shallowness in certain parts. I said there would be no danger if those parts could be properly demarcated with lighted buoys or lighthouses. With advanced technology the straits could be deepened and lighted buoys could mark out the lanes. He was encouraged by my positive approach. He was preoccupied with their sea access to raw materials, especially oil, and to their markets. These issues had led them into World War II. Then they had the military capability to strike out. After the war they did not. The next prime minister, Kakuei Tanaka, also raised this issue in May 1973 when I went to Tokyo. When I told him that we could work together to resist any proposal by other countries in the region to collect toll from ships passing through the straits, he was visibly reassured.

Two years later, when I called on Prime Minister Takeo Miki, he expressed his sincere appreciation for our help in two accidents in the Straits of Singapore involving Japanese oil tankers, which had caused a furore with our neighbours. In January that year the *Showa Maru* had run aground at Buffalo Rock, a few kilometres from Singapore, causing an oil slick 20 kilometres long. There were fears of considerable pollution to the coastlines of Indonesia, Malaysia and Singapore. Our port authority had immediately dispatched anti-pollution barges to contain and disperse the oil slick with detergents. Then in April the *Tosa Maru* collided with another tanker off St John's Island, even nearer to Singapore, and broke into two. Fortunately, it had off-loaded its cargo of oil and so caused no pollution. Nevertheless, the Indonesian and Malaysian governments publicly called for toll fees from ships to compensate for damage to the littoral states, and also for a limit on the tonnage of ships allowed to sail through the Straits of Malacca. It was so vital an issue for Japan that during that visit both Deputy Prime Minister Takeo Fukuda and Foreign Minister Kiichi Miyazawa separately thanked me for our help.

The Japanese government, more than other major powers, rates the importance of a developing country according to its economic value to Japan. Singapore has no natural resources. It therefore rates us poorly. To get the Japanese to help us, for example in investing in a petrochemical plant, we had to remind them that their ships passing through the Straits of Malacca would have problems with toll collectors if Singapore were to join the other littoral states, Indonesia and Malaysia. Japan's concern over the Straits of Malacca only abated after the UN Convention on the Law of the Sea (UNCLOS) in 1982 spelt out the right of free passage through international straits.



During my years as prime minister I encouraged Japanese investment in Singapore. When Prime Minister Sato visited Singapore in September 1967, I said to him publicly that Singaporeans had no inhibitions over Japanese capital, technology, managers and expertise, that Japan was set to lead the rest of Asia to greater industrialisation. I told their industrialists in the Keidanren, their association for big industrialists, that we would welcome any industry with a wage or freight advantage in Singapore. A year later, our Economic Development Board (EDB) set up an office in Tokyo, but in the early 1970s the Japanese were not so ready to relocate their factories abroad. They were building up their industrial capacity in Japan itself. Only in the 1980s, when pressed by the Americans over their increasing trade surpluses, did they begin manufacturing in America. And when Europe shut out their products, they started to manufacture there, especially in Britain to export to the EEC.

Typical of the careful and thorough manner in which Japanese companies invested abroad was the way Seiko decided to build its plant in Singapore. It took us more than three years in the early 1970s to persuade Seiko to build a watch factory in Singapore. Our EDB man in Tokyo, Wong Meng Quang, had been educated in a Japanese university and understood well their language and culture. Seiko did not believe that there was any place in Southeast Asia with the supporting industries and a sufficiently well-educated and trained workforce to meet their demands for precision engineering. Wong worked hard to convince them that to prepare for the day when cheaper quartz watches would make it

uneconomic to manufacture in Japan, they should consider Singapore. He cultivated the director in charge of technology and production. After several study missions, many feasibility reports and innumerable assurances that we would give every assistance necessary, they finally decided to invest. I opened their factory in 1976. If they were thorough and careful before deciding to invest, after that decision they went all out to ensure its success. They soon shed their doubts over the standards of our workers and upgraded into the manufacture of precision instruments, industrial robotics and automation systems.

In 1969 we were interested in a petrochemical project. I first asked Miki for his government's support as we knew that, unlike the Americans or Europeans, the government in Japan played an important role in these investments and its support was often decisive. In May 1975 I met Norishige Hasegawa, the president of Sumitomo Chemical Corporation. He was willing to commit his company to such a project but said his government did not support it. He asked me to get Japan's prime minister to make a public commitment in support. Prime Minister Miki was reluctant to do this because Indonesia, an oil producer, wanted a petrochemical project for themselves. I urged Miki not to allow Japan to be pressured by resource-rich countries to desist from making a sound investment. I reminded him of the help Singapore had rendered over the two leaking Japanese oil tankers and hoped he would support the Sumitomo project. He then issued a short statement that although it was a private investment project, the Japanese government had a deep interest in it and was ready to promote it.

It was another two years, in May 1977, before Miki's successor, Takeo Fukuda, endorsed the Singapore-Japan petrochemical project with Sumitomo as the leader of the project for the Japanese. Without him, the project might never have materialised. An investment of over US\$1 billion was considered massive in 1977, and petrochemicals too capital-intensive and high-tech for Singapore. Even so, it took the intervention of Prime Minister Yasuhiro Nakasone when he visited Singapore in 1983 to get it really going. Shortly afterwards, the project proceeded on a 50:50 basis. It had a slow start coming on-stream in a period of over-supply but it became profitable and spawned several major investments in downstream products.



The Japanese prime ministers I met, from Ikeda in 1962 to Miyazawa in 1990, were all men of considerable ability. One stood out as a rough diamond – Kakuei Tanaka, whom I met in May 1973 in Tokyo. He had a reputation as a bulldozer, a man with a powerful computer-like mind, a construction contractor who had fought his way up from the ranks. Of average height for a Japanese, broad and burly, he was a bundle of energy. A brusqueness and bluntness in his approach distinguished him from other Japanese prime ministers. They were mostly graduates of Todai (University of Tokyo, formerly the Tokyo Imperial University) or some other renowned institution who became bureaucrats, and after rising to the top of their civil service had joined the leadership of the Liberal Democratic Party (LDP). Tanaka never went to university but was more than equal to his job.

It was refreshing to talk to a Japanese leader who was ready to express his views without inhibitions, even on sensitive subjects like anti-Japanese sentiments in Southeast Asia. Japan was then in trouble with Thai students in Bangkok demonstrating against their economic exploitation. I said it was not enough to send their trade and industry minister, Nakasone, to pat the Thais on their backs; if Tanaka did not want such problems to fester, he had to show the Thais, Indonesians and Filipinos that the Japanese were interested beyond extracting their raw materials, for example by offering them industrialisation. I was to repeat this argument with other Japanese prime ministers with not much effect.

Within eight months, in January 1974, I received Tanaka in Singapore. When he descended from his plane, his face was crooked with his lips and cheek puckered to one side. He was not self-conscious, explaining in a matter-of-fact way that he had a nerve problem which would take some time to clear up. He exuded enormous self-confidence.

He resigned at the end of 1974 because of a bribery case against him over the purchase of Lockheed aircraft, but remained a powerful figure in the LDP, a king-maker, until he died in 1993.



Takeo Fukuda was a slight, trim, wiry man with a puckish expression on a small, delicately formed face. I met him in May 1977 after he became prime minister. From previous meetings with him as a minister, I knew he had a sharp, capacious mind and wide-ranging interests. Once, to show how disadvantaged Japan was, he took out a bulky pocketbook from his breast pocket to read out the size of Japan's Extended Economic Zone (EEZ) compared to America's. He had kept all useful facts and figures, including the number of square miles that each country had as its EEZ according to the Law of the Sea.

In August Fukuda visited Singapore after attending the Asean summit in Kuala Lumpur. We had one and a half hours of "belly talk" (Japanese for letting one's hair down). Our ministers agreed to set up a Japan-Singapore training centre and to make contributions by Japanese firms to the centre tax-deductible. The Japanese asked us to support a five-year transition period before the UKC (Under Keel Clearance or draft of a ship) at 3.5 metres was enforced for Japanese

tankers coming through the Straits of Malacca. Although Indonesia, Malaysia and Singapore had agreed that it be implemented in three and a half years, I promised to try to extend it to five. We succeeded.

Then I protested to Fukuda that his officials had spoken of Singapore not as a developing country but as an industrialised one not entitled to soft loans from Japan. If they treated us as already industrialised when we were not, the EEC and the United States would soon do the same. We would lose our General Scheme of Preferences (GSP) and other advantages before we could compete on equal terms. Fukuda took note and they ceased to raise this. Years later, in mid-1980, it was the European Commission in Brussels that questioned Singapore's status as a developing country. Fukuda remained a force in Japanese politics after retiring as a Diet member. His son won the seat he vacated, so deep and personal were the loyalties of Japanese voters. When he died in 1995 Japan lost a shrewd, experienced and wise leader. He had a grasp of the problems of the world at the end of the 20th century and understood Japan could not live in isolation.

I made an official visit in October 1979 after Masayoshi Ohira succeeded Fukuda. Japanese protocol had moved with the times and no longer insisted on a black homburg and grey gloves. We were put up at the Asakasa (guest) Palace. We had lunch given by Emperor Hirohito and the empress, and a formal black-tie dinner with the prime minister.

Ohira had a broad, smiling face and puffed cheeks and laughed easily. A Hitotsubashi University graduate working in the ministry of finance, he was a cautious, capable leader. I drew his attention to the demonstration effect on our neighbours of Singapore-Japan cooperation in projects like the Japan-Singapore training centre, the computer software training centre, the Japanese studies department of the University of Singapore and the pairing of the University of Singapore's engineering faculty with its Japanese counterpart. These were carefully studied by our neighbours. Because Singapore had succeeded, they realised the value of training and knowledge and were more likely to cooperate with Singapore and Japan. He agreed to my request for help in human resource development, adding that this subject was close to his heart. When Ohira died suddenly a year later, I lost a friend.

Zenko Suzuki, who succeeded Ohira, visited Singapore and the other Asean countries in January 1981. I urged him to give special attention to Asean the way Europe did to Africa at the Lome Convention. Suzuki emphatically agreed. He had decided to visit Asean first, although traditionally the first overseas call of a Japanese prime minister was on Washington. Only later would he go to Washington, and then to the G7 summit in Ottawa. Japan was a true member of Asia, he declared, and as its only highly industrialised country, had a special responsibility for and intended to work with Asia.

His change in posture was significant. It was unthinkable for a Japanese prime minister to make such a major shift without the support of their all-powerful bureaucrats. To underline his emphasis on Asean, he recounted how the Soviet Union had approached Japan for help in Siberia's economic development. Unless the Soviets changed their policies in Afghanistan and Vietnam, Japan would not give economic assistance for Siberia, although the Soviets had asked Japan to separate economics from politics. I encouraged him in this firm stand; if Japan, Europe and America helped the Soviets to cover up the failures of their system, they would continue to create trouble for the world. Without outside help, in 15 to 20 years they would face problems more severe than Poland's. Suzuki agreed.

A graduate of the Fisheries Training Institute (now Tokyo University of Fisheries), he was an expert on the subject. I had an enjoyable dinner with him discovering the mysteries of fisheries and the fishing industry of Japan. Many of the metaphors he used were fish-related. When I proposed that Japan should concentrate on human resource development, training Southeast Asians to be skilled and productive workers like the Japanese, he agreed, saying, "If you give a man a fish, he has but one meal; if you teach him how to fish ..." He would set aside a hundred million dollars for a training centre in each Asean country, and one in Okinawa. The key to a modern economy, he said, was through training, not grants and soft loans.

Because most Japanese prime ministers after Sato did not remain in office more than two years, it was difficult to establish deep personal relations with them. Changes of prime minister and ministers made little difference, for Japan continued to achieve high growth rates. Foreign commentators attributed this to the power and competence of the bureaucracy. I believe they underestimated the competence of the men who took turns to become prime ministers and cabinet ministers. They were drawn from the same pool of leading members of the LDP factions, all of them able, experienced and sharing a common outlook.

Yasuhiro Nakasone, Suzuki's successor, was able to stay as prime minister for five years from 1982. He could speak English but with a strong Japanese accent. He spoke in a resounding voice with emphasis and vigour. He had been a lieutenant (paymaster) in the Japanese Imperial Navy and was proud of it. Tall and strapping for a Japanese at five-foot-eleven, with a high dome of a balding forehead, he exuded energy and self-discipline. He meditated for two hours at a temple once a week, sitting with back straight and legs crossed in lotus position, and recommended I take it up. I took his advice and with the help of a friend, a Buddhist and a Western-trained doctor, I learnt to do it, but only for half an hour at a time. Later, I made it a daily routine. It has been more beneficial than tranquillisers.

He had none of the self-effacing ways of most Japanese leaders. When I visited him in March 1983 he welcomed me, saying how happy he was to have realised his hope to greet me in the prime minister's office. He was concerned over

Asean's reaction to what he termed "a slight increase in Japan's defence expenditure". When he was in charge of the Defence Agency he had made known his hawkish views, that Japan must be ready to defend itself. Now he had the excuse that the American senate had passed a resolution calling upon Japan to increase its defence expenditure. He wanted to assure apprehensive neighbours that Japan was not becoming militaristic simply because it improved its self-defence forces so as to be able, in an emergency, to defend the three straits (Soya, Tsugaru and Tsushima) around the Japanese islands. This, he claimed, had been the policy of previous cabinets, although it had not been publicly declared.

When he visited Singapore in 1983, I recounted that 10 years previously, in that same cabinet room, General Ichiji Sugita (retired), who as a lieutenant-colonel had helped to plan General Tomoyuki Yamashita's invasion of Malaya, had apologised to me for his role. He had returned in 1974 and 1975 together with his surviving officer colleagues to brief Singapore Armed Forces officers on their experiences during the campaign in Malaya and their final assault on and capture of Singapore. Much had taken place in the Istana since General Yamashita stayed there after he captured it. We must not allow ourselves to be blinkered by the past but work towards a future free of suspicions. He expressed in English his "heartfelt gratitude" for my position.

The deep-seated fears of the Japanese people of getting embroiled in another unwinnable and punishing war slowed down Nakasone's strong defence policies. Opinion polls showed the people favoured a low posture on defence. Because of his forthright nature, we talked freely when we met over lunches and dinners in Tokyo long after he was no longer prime minister.

The grip of the LDP on power started to slip from the late 1980s. The system that had worked well for 35 years could no longer cope with the changed domestic and international circumstances. The LDP came under increasing attack for corruption, with the media reporting one scandal after another. Their media had decided to break up the cosy partnership between LDP politicians, big businessmen, especially construction contractors, and top bureaucrats.

Noboru Takeshita, who succeeded Nakasone as prime minister in 1987, was a dapper little man who had graduated from Waseda University, not Todai. He was always soft-spoken and formal in his social interaction. His often smiling face belied the shrewd political infighter he was. He had a cautious leadership style compared to Nakasone's, but could deliver on his promises.

Takeshita was prime minister at a time of excitement and hope among the Japanese of getting the Kurile islands back from the Soviets. Gorbachev needed international financial assistance. The Japanese were prepared to be generous, provided they got back their four islands or at least a firm undertaking to return them. In Tokyo, at the funeral of Emperor Hirohito in February 1989, Takeshita told me that the Soviet Union had not relented in its occupation of the islands. Later, he sent me a message asking me to put in a word of support for the return of the islands when Soviet Prime Minister Ryzhkov visited Singapore in early 1990. I once asked Prime Minister Takeo Miki why the Soviets, who had so much of the world's territory in Euro-Asia, would want four islands off the Kamchatka Peninsula. Miki's face darkened when he said with deep anger and passion that the Russians were greedy for territory. What had happened to the Japanese inhabitants of the Kurile islands? He replied with disgust, "Every single Japanese was removed and sent back to Japan." Takeshita shared this passionate desire to get back the four islands. When Ryzhkov visited Singapore, I raised the subject of the four islands. His response was totally predictable: there was no dispute over the four islands; they were Soviet.

During Takeshita's two-year term of office, a scandal connected with an employment company called Recruit blew up. His right-hand man was alleged to have received funds for political purposes. He committed suicide, to the great sorrow of Takeshita who resigned as prime minister.

After a series of scandals, the public demanded a clean figure as prime minister. Although he led one of the smallest LDP factions, Toshiki Kaifu became prime minister in 1989. He was a pleasant, gregarious man known as "Mr Clean". While not as scholarly as Miyazawa, or decisive like Nakasone, or an infighter like Takeshita, he had the common touch.

During his full two-year term, he faced problems which Nakasone would have been happy to deal with in his decisive manner. The Americans wanted Japan to send troops to the Gulf for action against Iraq. Kaifu consulted all faction leaders and ended up not sending any, instead paying US\$13 billion as Japan's contribution to this operation.

The West had recognised Japan's economic power and, beginning from 1975 with Rambouillet, had invited its leaders to the G5 summits. But Japan faced obstacles in its search for a role as a major economic power, the most serious being the attitude of Japanese leaders to their war-time atrocities. They compare badly to the West Germans who openly admitted and apologised for their war crimes, paid compensation to victims, and taught younger Germans their history of war crimes so they would avoid making the same mistakes. In contrast, Japanese leaders are still equivocal and evasive. Perhaps they do not want to demoralise their people or insult their ancestors and their emperor. Whatever the reason, successive LDP prime ministers have not faced up to their past.

Kaifu made the first break with the past in a memorable speech in Singapore in May 1990. He expressed "sincere contrition at past Japanese actions, which inflicted unbearable suffering and sorrow upon a great many people in the Asia Pacific region ... The Japanese people are firmly resolved never again to repeat those actions, which had tragic consequences ..." It was just short of an apology. He spoke with candour and realism.

I highlighted to Kaifu the difference between the German and Japanese attitudes to their war records. When German industrialists and bankers gave me their cv's, they would invariably list their experiences during the war – fighting in campaigns in Stalingrad or Belgium, where they had been captured as POWs by the Soviets or Americans or British, the rank they attained and the medals won. But Japanese cv's left the years 1937 to 1945 blank, as if those were non-years. It was a signal that they did not wish to talk about them. Not surprisingly, a curtain fell between the Japanese and people they dealt with, building suspicion and distrust. I suggested that the Japanese study the German way of educating the next generation on their history, so as not to repeat the same mistakes. Kaifu said he was encouraged by my comments and stressed that Japan was changing. He was the first post-war prime minister, he said, who did not have a military background. In 1945 he was still a young student; in the 1960s he had participated in the democratisation process. He would look into the task of educating the young about the facts of World War II and would revise their school textbooks. He did not stay long enough in office to follow through before he was replaced by Kiichi Miyazawa.

Short and spritely, with an inquiring expression on his round face, Miyazawa's broad brow would wrinkle when he pondered over a question. He would purse his lips before he delivered a cautious and carefully thought-out position. He struck me as more of a scholar than a politician, and could easily have stayed on as a professor in Todai, where he graduated, had he chosen a career in academia. Instead he became a finance ministry bureaucrat.

The media had quoted me in 1991: letting the Japanese re-arm for UN peacekeeping operations in Cambodia was like "giving liqueur chocolates to an alcoholic". At a lunch with other LDP leaders in Tokyo shortly before he took over as prime minister, Miyazawa asked me what I had meant. I replied that it was difficult to change Japanese culture. The Japanese have a deeply ingrained habit of wanting to achieve perfection and going to the limits in whatever they did, whether in flower arrangement, sword-making or war. I did not believe Japan could repeat what it had done between 1931 and 1945 because China now had the nuclear bomb. But if Japan wanted to play its part as a permanent member of the UN Security Council, its neighbours must feel it was trustworthy and dependable as a force for peace. Miyazawa asked whether Kaifu's expression of "contrition" was not in itself a catharsis. I said it was a good start but not an apology.

As prime minister, Miyazawa's first statement in the Diet in January 1992 expressed his "heartfelt remorse and regrets" at the unbearable suffering and sorrow the people of the Asia Pacific region had endured. Unlike Nakasone, who was a hawk, Miyazawa was a dove. He had always supported the US-Japan alliance and was against any re-arming. His English was fluent with a wide vocabulary, making a frank exchange of views easy. He was quick to take up and counter any point he did not accept – but ever so politely. We had been good friends for many years before he became prime minister.

Miyazawa was concerned about the kind of China that would result from its high growth rates. Like Sato in 1968, Miki (1975) and Fukuda (1977), Miyazawa discussed China at length. Even when China was closed to the world with its economy stagnant, Japanese leaders paid it careful attention. After Deng Xiaoping's open-door policy, the Japanese were increasingly focused on a neighbour that was growing at 8–10 per cent yearly and could challenge Japan's pre-eminence in East Asia. Miyazawa's concern was that a strong China, without the checks and balances of a democratic system and a free press, would affect the security of Japan and East Asia. Most Japanese leaders believed that their arrangements with the United States would ensure security for 20 years. It was the long-term future that troubled Miyazawa and all Japanese leaders. Their unspoken fear was that one day the Americans would be unable to maintain their dominant military presence and would be unwilling to defend Japan. They were uncertain whether China would be a force for stability or tension.

I argued that it was best to draw the Chinese out to become a part of the modern world. Japan should get bright Chinese students to study in Japan and develop close relationships with young Japanese. The exposure of China's brightest and best to the United States, Japan and Europe would make them less inward-looking and would get them to understand that if China wanted to grow and prosper, it had to be a law-abiding member of the international community. If the Chinese were isolated and thwarted in their efforts at economic reform and progress, they would become hostile to the advanced countries.

Most Japanese leaders believed that in a crunch Asean countries would line up with Japan, but were unsure how Singapore would react. They accepted that despite being ethnic Chinese my views and policies towards China were those of a Singaporean whose interests were in Southeast Asia, and that I would not necessarily support China in any conflict. However, they were uncertain how Singapore's majority Chinese population and its future leaders would react under Chinese pressure. I do not think I succeeded in dispelling their doubts.

During Miyazawa's term as prime minister a powerful faction led by a young Tanaka protégé, Ichiro Ozawa, brought the government down in a critical vote. Unlike other LDP faction leaders, Miyazawa was not a tough, ruthless infighter. In the election that followed the LDP lost power. One outcome of this break in the LDP hold of government was that Morihiro Hosokawa became the first prime minister to admit in unambiguous language Japan's aggression in World War II and apologise for the sufferings caused. He did not have the LDP mindset, to hang tough over their war crimes. This unqualified apology came only after a non-mainstream party leader became prime minister.

The following year, Prime Minister Tomiichi Murayama of the Social Democratic Party of Japan also apologised, and did so to each Asean leader in turn during his visits to Asean countries. He said publicly in Singapore that Japan needed to face up squarely to its past actions of aggression and colonialism. On the 50th anniversary of the end of the war (1995), he expressed once again his feelings of deep remorse and his heartfelt apology. Japan, he said, would have to reflect on the sufferings it had inflicted on Asia. He was the first Japanese prime minister to lay a wreath at Singapore's civilian war memorial. We had not asked him to do so. He said he did it to maintain future peace and stability in the region. He was aware of latent anti-Japanese sentiments around the region and saw the need to deepen political, economic and cultural exchanges. The apologies of two non-LDP prime ministers, Hosokawa and Murayama, irrevocably dented the hard-line no-apology stance of previous Japanese governments. Although the LDP as such did not apologise, it was part of the Murayama coalition government that did.

When Ryutaro Hashimoto of the LDP became prime minister in 1996, he visited the Yasukuni shrine in July that year, on his birthday, in a personal, not official, capacity. He paid his respects to the spirits of the war dead, including General Hideki Tojo, the war-time prime minister, and several other war criminals who had been hanged for war crimes. This ambivalence in attitudes leaves a big question unanswered. Unlike the Germans, the Japanese have not had a catharsis and rid themselves of the poison in their system. They have not educated their young about the wrong they had done. Hashimoto expressed his "deepest regrets" on the 52nd anniversary of the end of World War II (1997) and his "profound remorse" during his visit to Beijing in September 1997. However, he did not apologise, as the Chinese and Koreans wished Japan's leader to do.

I do not understand why the Japanese are so unwilling to admit the past, apologise for it and move on. For some reason, they do not want to apologise. To apologise is to admit having done a wrong. To express regrets or remorse merely expresses their present subjective feelings. They denied the massacre of Nanjing took place; that Korean, Filipino, Dutch and other women were kidnapped or otherwise forced to be "comfort women" (a euphemism for sex slaves) for Japanese soldiers at the war fronts; that they carried out cruel biological experiments on live Chinese, Korean, Mongolian, Russian and other prisoners in Manchuria. In each case, only after irrefutable evidence was produced from their own records did they make reluctant admissions. This fed suspicions of Japan's future intentions.

Present Japanese attitudes are an indication of their future conduct. If they are ashamed of their past, they are less likely to repeat it. General Tojo, who was executed by the Allies for war crimes, said in his last will and testament that the Japanese were defeated only because superior forces overwhelmed them. For a country of its size and population, Japan can become a very considerable power in high-tech warfare. True, it will suffer severe disadvantages if a conflict between Japan and China escalates beyond conventional weapons. This is unlikely, but if it does happen, Japan's capabilities should not be underestimated. If the Japanese feel threatened, deprived of their means of livelihood as a nation by being cut off from oil or other critical resources, or shut out from their export markets, I believe they will again fight ferociously as they did from 1941 to 1945.

Whatever the future may hold for Japan and Asia, to play their role as an economic moderniser and UN peacekeeper, the Japanese must first put this apology issue to rest. Asia and Japan must move on. We need greater trust and confidence in each other.